HOUSE BILL 955
By Brooks

SENATE BILL 961

By Lamar

AN ACT to amend Tennessee Code Annotated, Title 7, Chapter 53; Title 9; Title 12; Title 13; Title 66 and Title 67, relative to housing.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as the "Affordable Housing and Tenant Protection Act."

SECTION 2. Tennessee Code Annotated, Section 66-35-102, is amended by deleting the language "residential or" wherever it appears in subsection (a) and subdivision (b)(1).

SECTION 3. Tennessee Code Annotated, Section 66-35-102(b), is amended by deleting subdivisions (2) and (3) and substituting instead:

(2) This subsection (b) does not prohibit a local government unit from creating or implementing a purely voluntary incentive-based program designed to increase the construction or rehabilitation of workforce or affordable private commercial rental units, which may include providing local tax incentives, subsidization, real property, or infrastructure assistance.

(3) A person who suffers an ascertainable loss of money or property, real, personal, or mixed, or any other article, commodity, or thing of value wherever situated, as a result of the practices prohibited by this section, may bring an action individually to recover actual damages.

SECTION 4. Tennessee Code Annotated, Title 66, Chapter 35, Part 1, is amended by adding the following as a new section:

66-35-104.

(a) The general assembly finds that:

(1) A serious public emergency continues to exist in the housing of a considerable number of persons in this state;

(2) Such emergency necessitates the intervention of state and local government in order to prevent speculative, unwarranted, and abnormal increases in rents;

(3) There continues to exist an acute shortage of dwellings;

(4) Unless residential rents are regulated and controlled, disruptive practices and abnormal conditions will produce serious threats to the public health, safety, and general welfare;

(5) Preventative action is necessary in order to prevent exactions of unjust, unreasonable, and oppressive rents and rental agreements;

(6) The transition from regulation to a normal market of free bargaining between landlord and tenant, while still the objective of state policy, must be administered with due regard for such emergency; and

(7) The policy expressed in this section may be administered locally within local governments by an agency of the local government itself.

(b) A local government unit may, by two-thirds (2/3) vote of its legislative body, adopt an ordinance or resolution to control the amount of rent charged for leasing private residential property, including the establishment and adjustment of maximum rents and rental application fees.

(c) Prior to adopting an ordinance or resolution pursuant to subsection (b), the local government unit shall:

(1) Make a determination as to the supply of housing accommodations within the local government unit, the condition of the accommodations, and the

need for continuing the regulation and control of residential rents within the local government unit;

(2) Establish or designate a board, commission, or agency of the local government unit ("local rent agency") to administer the regulation and control of residential rents within the local government, including making such studies and investigations, conducting hearings, and obtaining such information as it deems necessary or proper in prescribing any regulation or order under an ordinance or resolution adopted pursuant to subsection (b), or in administering and enforcing such local regulations and orders pursuant to the ordinance or resolution, and requiring a person who rents or offers for rent or acts as broker or agent for the rental of any housing accommodations to furnish any such information, to make and keep records and other documents, and to make reports; and

(3) Establish a process for a person who is aggrieved by a final determination of a local rent agency made pursuant to an ordinance or resolution to challenge the determination, which process must include written notice and explanation of any alleged violation of a regulation or order and an opportunity to request an administrative hearing and to subsequently appeal the final order of the local rent agency to the chancery court of the county in which the agency is located.

SECTION 5. Tennessee Code Annotated, Title 13, Chapter 23, is amended by adding the following as a new part:

13-23-601.

(a) There is created the increased housing program to be administered by the Tennessee housing development agency (THDA).

(b) The goal of the program is to help create more affordable housing across this state.

(c) The program must assist both developers and first-time homebuyers. Developers may apply for gap financing in building both single family and multi-family homes across the state. First-time homebuyers of an owner-occupied primary residence may apply for a grant assisting in making their down payments in purchasing the residence or paying closing costs, or both. The program must fund both urban and rural housing developments across this state.

(d) The program must give preference to applicants who are looking to develop or buy housing in communities that have been under a federally declared disaster within the twelve (12) months immediately preceding the date of application.

(e) Participants in the program must not be eligible for the Tennessee rural and workforce housing tax credit provided in § 13-23-134.

(f) The THDA may promulgate rules in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5, to implement the increased housing program.

(g) The THDA shall provide an annual report beginning January 1, 2026, to the governor, the speakers of the house of representatives and the senate, the chair of the finance, ways, and means committee of the senate, and the chair of the committee having jurisdiction over the budget in the house of representatives detailing how many awards have been made to both developers and to first-time homebuyers, how many additional housing units have been built, along with other program information deemed relevant by the THDA.

13-23-602.

(a) There is created in the state treasury a revolving fund for the Tennessee housing development agency (THDA) to be designated the "increased housing revolving fund".

(b) The fund must consist of all moneys received by the THDA from appropriations, donations, grants, or other sources of funding.

(c) All monies deposited in the fund must be expended by the THDA for the purpose of the increased housing program as described in § 13-23-601.

(d) The state treasurer shall invest moneys in the fund for the benefit of the fund in accordance with § 9-4-603. Interest accruing on investments and deposits of the fund must be credited to and remain part of the fund.

(e) Any unencumbered moneys and any unexpended balance of the fund remaining at the end of a fiscal year do not revert to the general fund, but must be carried forward until expended in accordance with this part. No part of the fund shall be diverted to the general fund or any other public fund.

(f) Of the funds available, the THDA may use up to five percent (5%) of the funds to cover additional administrative costs to the THDA in administering the increased housing program.

SECTION 6. This act takes effect upon becoming a law, the public welfare requiring it.